

Sasini

SASINI PLC

(A Member of Sameer Group)

ANNOUNCEMENT OF RESULTS FOR THE YEAR ENDED 30 SEPTEMBER 2019 (Audited)

CONSOLIDATED AND COMPANY STATEMENT OF PROFIT OR LOSS AND COMPREHENSIVE INCOME

	Group 30.09.2019 Kes '000	30.09.2018 Kes '000	Company 30.09.2019 Kes '000	30.09.2018 Kes '000
Revenue	2,794,830	3,512,220	988,016	1,076,088
(Loss)/gain arising from changes in fair value of biological assets less cost to sell	(5,843)	55,559	(64,596)	34,747
Results from operations	(392,109)	354,615	(12,858)	422,053
Finance income	51,736	112,663	26,366	32,067
Finance cost	(20,926)	(18,472)	(17,366)	(5,143)
(Loss)/ profit before tax	(361,299)	448,806	(3,858)	448,977
Tax credit /(charge)	23,562	(155,283)	56,620	(31,352)
(Loss)/profit for the year	(337,737)	293,523	52,762	417,625
Other Comprehensive Income				
Revaluation gain net of tax	2,181,675	-	1,529,028	-
Remeasurement of post employment benefits net of tax	16,202	8,453	465	909
Total comprehensive income	1,860,140	301,976	1,582,255	418,534
(Loss)/profit attributable to:				
Non-controlling interest	(20,308)	(1,974)	-	-
Owners of the company	(317,429)	295,497	52,762	417,625
	(337,737)	293,523	52,762	417,625
(Loss)/profit arising from operating activities	(314,197)	256,606	97,979	393,302
(Loss)/gain arising from changes in fair value of biological assets after tax.	(3,232)	38,891	(45,217)	24,323
	(317,429)	295,497	52,762	417,625
(Loss)/earning per share (Kes) on operating activities	(1.38)	1.13	0.43	1.72
(Loss)/ earning per share (Kes) on biological assets	(0.01)	0.17	(0.20)	0.11
(Loss)/ earning per share (Kes)	(1.39)	1.30	0.23	1.83
Issued and fully paid shares of Kes1 each	228,055	228,055	228,055	228,055

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Share Capital Kes '000	Capital Reserves Kes '000	Revaluation Reserves Kes '000	Defined Benefit Reserves Kes '000	Biological Assets Fair Value Kes '000	Retained Earnings Kes '000	Proposed Dividends Kes '000	Non Controlling Interest Kes '000	Total Kes '000
At 1 October 2017	228,055	98,530	7,627,565	26,128	159,711	2,698,759	171,042	306,087	11,315,877
Profit for the year	-	-	-	-	-	295,497	-	(1,974)	293,523
Fair value gain on biological assets	-	-	-	-	38,891	(38,891)	-	-	-
Other comprehensive income	-	-	-	8,443	-	-	-	10	8,453
Final 2017 dividend paid	-	-	-	-	-	-	(171,042)	-	(171,042)
First Interim 2018 dividend Paid	-	-	-	-	-	(114,028)	-	-	(114,028)
Second Interim 2018 dividend payable	-	-	-	-	-	(114,028)	114,028	-	-
At 30 September 2018	228,055	98,530	7,627,565	34,571	198,602	2,727,309	114,028	295,123	11,323,783
At 1 October 2018 as originally presented	228,055	98,530	7,627,565	34,571	198,602	2,727,309	114,028	295,123	11,323,783
Change in accounting policy						(34,880)	(682)	(35,562)	
Restated as at 1 October 2018	228,055	98,530	7,627,565	34,571	198,602	2,692,429	114,028	294,441	11,288,221
Loss for the year	-	-	-	-	-	(317,429)	-	(20,308)	(337,737)
Fair value loss on biological assets	-	-	-	-	(3,232)	3,232	-	-	-
Other comprehensive income	-	-	2,115,247	16,268	-	-	-	66,362	2,197,877
Dividend paid to minority interest	-	-	-	-	-	-	(35,250)	-	(35,250)
2nd Interim dividend for 2018 paid	-	-	-	-	-	-	(114,028)	-	(114,028)
First Interim dividend for 2019 paid	-	-	-	-	-	(114,028)	-	-	(114,028)
At 30 September 2019	228,055	98,530	9,742,812	50,839	195,370	2,264,204	-	305,245	12,885,055

COMPANY STATEMENT OF CHANGES IN EQUITY

	Share Capital Kes '000	Capital Reserves Kes '000	Revaluation Reserves Kes '000	Defined Benefit Reserves Kes '000	Biological Assets Fair Value Kes '000	Retained Earnings Kes '000	Proposed Dividends Kes '000	Non Controlling Interest Kes '000	Total Kes '000
At 1 October 2017	228,055	40,594	5,517,443	4,340	94,073	1,008,786	171,042	-	7,064,333
Profit for the year	-	-	-	-	-	417,625	-	-	417,625
Fair value loss on biological assets	-	-	-	-	24,323	(24,323)	-	-	-
Other comprehensive income	-	-	-	909	-	-	-	-	909
Final 2017 dividend paid	-	-	-	-	-	-	(171,042)	-	(171,042)
Firt Interim 2018 dividend Paid	-	-	-	-	-	(114,028)	-	-	(114,028)
Second Interim 2018 dividend payable	-	-	-	-	-	(114,028)	114,028	-	-
At 30 September 2018	228,055	40,594	5,517,443	5,249	118,396	1,174,032	114,028	-	7,197,797
At 1 October 2018 as Originally presented	228,055	40,594	5,517,443	5,249	118,396	1,174,032	114,028	-	7,197,797
Change in accounting policy						(33,244)	-	-	(33,244)
Restated as at 1 October 2018	228,055	40,594	5,517,443	5,249	118,396	1,140,788	114,028	-	7,164,553
Profit for the year	-	-	-	-	-	52,762	-	-	52,762
Fair value loss on biological assets	-	-	-	-	(45,217)	45,217	-	-	-
Other comprehensive income	-	-	1,529,028	465	-	-	-	-	1,529,493
Final 2018 dividend paid	-	-	-	-	-	-	(114,028)	-	(114,028)
Interim dividend for 2019 paid	-	-	-	-	-	(114,028)	-	-	(114,028)
At 30 September 2019	228,055	40,594	7,046,471	5,714	73,179	1,124,739	-	-	8,518,752

COMMENTS ON THE AUDITED RESULTS FOR THE YEAR ENDED 30 SEPTEMBER 2019

Our expectation for the year's performance was severely affected by the significant dip in the tea and coffee prices experienced during the year. This was further compounded by severe weather conditions, high cost of production manifested in labour and input costs and lower production volumes especially in tea. The prices were lower than the cost of production throughout the financial year, leading to the absorption of cash reserves to support the continuation of the business. Despite these challenges, the diversification strategy is on course and the new lines of business are active and are expected to improve performance in the next year.

Tea production during the year declined by 14% to 9,318 tonnes of made tea down from 10,804 tonnes achieved in the previous year. The coffee estates produce went through a challenging period following prolonged extreme cold weather in prior year coupled with a dry period in the second quarter, which affected quality and size of the coffee beans and price. Coffee production however, was higher at 986 tonnes exceeding 891 tonnes produced in the previous year. Generally, global coffee and tea prices dipped to their lowest in over 10 years.

The avocado business maintained a steady and profitable performance during the second year of full operation despite effects of a poor crop and harvest due to the failed rains in the year.

During the year, we launched the macadamia commercial processing and trading activities having completed the capital investments of the factory in late 2018. The business however only started trading in the last quarter of the financial year and there are indications that going forward, this business unit is poised to be a central part and key contributor to our operations and profits.

Certifications
ISO 22000: 2005 Certified
Rainforest Alliance Certification
Flo Cert Certification
C.A.F.E. Practices
UTZ KAPEH Certification

The Group recorded a decline in turnover of 20% to Kes.2.8 billion compared to Kes 3.5 billion last year, the cost of sales declined by 11% to Kes 2.4 billion against prior year of Kes 2.7 billion and consequently a reduction in gross profit to Kes434.7 million compared to KShs.852.1 million for the previous year.

The Group posted an overall loss after tax and non-controlling interest (including the changes in value of biological assets) of Kes 337.7 million (prior year Kes 293.5 million profit). This comprises of a loss from operating activities of Kes 314.2 million compared to a profit of Kes 256.6 million in the previous year for the group. The net loss from changes in the value of biological assets was Kshs 3.2 million (prior year gain of Kshs 38.9 million).

DIVIDEND

An interim dividend of 50% (Kes 0.50 per share: 2018 – 50%: Kes 0.50 per share) was declared and paid on 16 July 2019. The directors do not recommend the payment of a final dividend (2018 – 50%: Kes 0.50 per share).

By Order of the Board

Dr. James Boyd McFie
Dr. James Boyd McFie, PhD, FCPA
Chairman

18th December, 2019

Mr. Martin R. Ochieng'
Mr. Martin R. Ochieng', MBA, Bsc
Group Managing Director

CONSOLIDATED AND COMPANY STATEMENT OF FINANCIAL POSITION

	Group 30.09.2019 Kes '000	30.09.2018 Kes '000	Company 30.09.2019 Kes '000	30.09.2018 Kes '000
ASSETS				
NON-CURRENT ASSETS				
Property, plant and equipment	11,455,879	8,679,878	7,450,772	5,854,109
Capital Work-in-progress	89,103	555,032	37,488	118,426
Intangible Assets	12,192	16,030	11,343	15,033
Biological Assets	1,211,030	1,046,978	126,456	59,478
Prepaid leases - leasehold land	10,408	10,509	-	-
Investments in Subsidiary Companies	-	-	145,797	145,797
Available-for-sale financial assets	-	525	-	-
Deferred tax asset	8,865	6,997	-	-
	12,787,477	10,315,949	7,771,856	6,192,843
CURRENT ASSETS				
Inventories	800,789	411,712	197,073	79,558
Biological Assets	112,101	283,033	90,512	223,123
Trade and Other receivables	450,610	730,321	89,737	253,451
Amount due from related companies	1,000	1,000	777,772	802,082
Tax recoverable	93,118	83,756	35,894	21,200
Cash and Bank balances	429,264	1,135,609	141,919	147,162
	1,886,882	2,645,431	1,332,907	1,526,576
TOTAL ASSETS	14,674,359	12,961,380	9,104,763	7,719,419
EQUITY AND LIABILITIES				
Capital and reserves				
Share Capital	228,055	228,055	228,055	228,055
Non - Distributable Reserves	10,087,551	7,959,268	7,165,958	5,681,682
Distributable Reserves	2,264,204	2,841,337	1,124,739	1,288,060
	12,579,810	11,028,660	8,518,752	7,197,797
Non controlling Interest	305,245	295,123	-	-
Total equity	12,885,055	11,323,783	8,518,752	7,197,797
Non- current liabilities				
Deferred tax liability	1,036,173	882,430	408,149	380,425
Post employment benefits	309,534	296,088	26,893	24,593
	1,345,707	1,178,518	435,042	405,018
Current liabilities				
Post employment benefits	24,746	36,042	5,720	5,674
Borrowings	114,488	-	114,488	-
Trade and Other Payables	296,808	411,595	30,761	110,930
Tax payable	7,555	11,442	-	-
	443,597	459,079	150,969	116,604
TOTAL EQUITY AND LIABILITIES	14,674,359	12,961,380	9,104,763	7,719,419
CONSOLIDATED AND COMPANY CASH FLOW STATEMENT				
	30.09.2019 Kes '000	Group 30.09.2018 Kes '000	30.09.2019 Kes '000	Company 30.09.2018 Kes '000
OPERATING ACTIVITIES				
Cash Flow Generated from Operations	(340,824)	593,395	(64,840)	(360,853)
Gratuity paid	(28,608)	(32,430)	(2,728)	(1,190)
Income taxes paid	(30,223)	(236,621)	(6,722)	(8,353)
Net cash flows (used in) generated from operating activities	(399,655)	324,344	(74,290)	(370,396)
INVESTING ACTIVITIES				
Purchase of Property, plant and equipment	(138,007)	(53,323)	(8,905)	(10,273)
Purchase of Intangible Assets	(582)	(16,218)	(264)	(15,716)
Purchase of biological assets	-	(1,206)	-	(1,037)
Capital Work in progress	(54,201)	(368,910)	(15,702)	(46,618)
Interest received	49,075	94,691	24,229	14,097
Dividend received from Subsidiary company	-	-	199,750	301,000
Proceeds on sale of property, plant and equipment	7908	143,841	823	140,623
Net cash flow used in investing activities	(135,807)	(201,125)	199,931	382,076
FINANCING ACTIVITIES				
Interest paid	(12,564)	(5,166)	(12,564)	(4,764)
Borrowing received	518,155	175,969	518,155	175,969
Borrowing repaid	(408,419)	(276,821)	(408,419)	(276,821)
Dividend paid to minority holders	(35,250)	-	-	-
Dividend paid on ordinary shares	(228,056)	(285,070)	(228,056)	(285,070)
Net cash flow used in financing activities	(166,134)	(391,088)	(130,884)	(390,686)
Net (Decrease) /Increase in Cash and cash equivalents	(701,596)	(267,869)	(5,243)	(379,006)
Cash and cash equivalents at the beginning of the year	1,135,609	1,406,676	147,162	524,718
Impact of initial application of IFRS 9	(4,749)	-	-	-
Net foreign exchange rate gains /(losses)	-	(3,398)	-	1,450
Cash and cash equivalents at the end of the year	429,264	1,135,609	141,919	147,162

The above extract is based on the consolidated and separate financial statements of Sasini PLC for the year ended 30th September 2019 as audited by KPMG Kenya upon which they issued an unqualified opinion and raised the Key Audit Matter relating to assumptions and judgments used by management in determining fair values and changes in fair value of biological assets.

NOTICE IS HEREBY GIVEN THAT THE SIXTY-EIGHTH (68TH) ANNUAL GENERAL MEETING of the Company will be held at **Kamundu Estate, Kiambu, on Friday, 6 March 2020 at 11.00 a.m.** to conduct the following business:

Ordinary business

- To table the proxies and note the presence of a quorum.
- To read the Notice convening the meeting.
- To consider and if approved, adopt the Company's audited financial statements for the year ended 30 September 2019, together with the Chairman's, Directors' and Auditors' Reports thereon.
- To confirm the first interim dividend of 50% paid on 16 July 2019 to shareholders on the register of members as at close of business on 21 June 2019.
- To approve payment of Directors' fees for the year ended 30 September 2019.
- Auditors: To note that Messrs KPMG Kenya continue in office as Auditors by virtue of Section 721 (2) of the Companies Act, 2015 and to authorize the Directors to fix the Auditors' remuneration for the ensuing financial year.
- To elect Directors:
 - Dr Steve Omengo Mainda, who retires at this meeting in accordance with the provisions of Articles 94 and 95 of the Company's Articles of Association and Clause 2.5 of the Code of Corporate Governance Practices for Issuers of Securities to the Public 2015. Special notice is hereby given pursuant to Section 287 of the Companies Act, 2015, that notice has been received of the intention to propose the following Resolution as an Ordinary Resolution at the 2019 Annual General meeting:
'That Dr Steve Omengo Mainda who has attained the age of 70 years, be and is hereby re-elected a Director of the Company until he comes up for retirement by rotation.'
 - Mr. Akif Butt, a Director retiring by rotation in accordance with Articles 94 and 95 of the Articles of Association of the Company and being eligible, offers himself for re-election.
- In accordance with the provisions of Section 769 of the Companies Act, 2015, the following directors, being members of the Audit, Risk & Compliance Committee of the Board be elected to continue to serve as members of the said Committee:
 - Mrs. Betty Koech
 - Mrs. Rosemary Munyiri
 - Mr. Sameer Merali
 - Dr. James McFie
- To consider any other business for which due notice has been given.

BY ORDER OF THE BOARD

Lawrence Kibet
LAWRENCE KIBET, CPS (K)
COMPANY SECRETARY

Date: 18 December 2019

